

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 1116

Introduced by Ibach, 44.

Read first time January 16, 2026

Committee:

- 1 A BILL FOR AN ACT relating to the Sports Arena Facility Financing
- 2 Assistance Act; to amend section 13-3105, Reissue Revised Statutes
- 3 of Nebraska, section 13-3108, Revised Statutes Cumulative
- 4 Supplement, 2024, and sections 13-3103 and 13-3106, Revised Statutes
- 5 Supplement, 2025; to change provisions relating to limitations on
- 6 state assistance, public hearings, and application approvals; to
- 7 harmonize provisions; to repeal the original sections; and to
- 8 declare an emergency.
- 9 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** Section 13-3103, Revised Statutes Supplement, 2025, is
2 amended to read:

3 13-3103 (1) Any applicant may apply to the board for state
4 assistance if (a) the applicant has acquired, constructed, improved, or
5 equipped an eligible sports arena facility, (b) the applicant has
6 approved a revenue bond issue or a general obligation bond issue to
7 acquire, construct, improve, or equip an eligible sports arena facility,
8 (c) the applicant has adopted a resolution authorizing the applicant to
9 pursue a general obligation bond issue to acquire, construct, improve, or
10 equip an eligible sports arena facility, (d) a building permit has been
11 issued within the applicant's jurisdiction for an eligible sports arena
12 facility that is a privately owned concert venue, (e) a building permit
13 has been issued or construction has been completed within the applicant's
14 jurisdiction for an eligible sports arena facility that is a privately
15 owned sports complex, or (f) each coapplicant described in subdivision
16 (1)(b) of section 13-3102 has adopted a resolution authorizing either the
17 political subdivision or the nonprofit corporation to pursue financing or
18 bonds to acquire, construct, improve, or equip an eligible sports arena
19 facility for the purposes set forth in subdivision (4)(b) of this section
20 ~~13-3103~~.

21 (2) Except as provided in subsections (3) and (4) of this section,
22 the state assistance shall only be used by the applicant to pay back
23 amounts expended or borrowed through one or more issues of bonds to be
24 expended by the applicant to acquire, construct, improve, or equip the
25 publicly owned eligible sports arena facility and to acquire, construct,
26 improve, or equip publicly owned nearby parking facilities.

27 (3) For an eligible sports arena facility that is a privately owned
28 concert venue, the state assistance shall only be used by the applicant
29 (a) to pay back amounts expended or borrowed through one or more issues
30 of bonds to be expended by the applicant to acquire, construct, improve,
31 or equip a nearby parking facility or (b) to promote arts and cultural

1 events which are open to or made available to the general public.

2 (4) For an eligible sports arena facility that is a privately owned
3 sports complex, the state assistance shall only be used by the applicant:

4 (a) To pay back amounts expended or borrowed through one or more
5 issues of bonds to be expended by the applicant to acquire, construct,
6 improve, or equip one or more public infrastructure projects, as defined
7 in section 77-27,142, related to a privately owned sports complex;

8 (b) To lease all or a portion of such privately owned sports complex
9 for the governmental use of the political subdivision. For purposes of
10 this subdivision, lease means any contractual lease agreement between the
11 coapplicants described in subdivision (1)(b) of section 13-3102 for the
12 use of an eligible sports arena facility at fair market rental value for
13 a term not to exceed twenty years;

14 (c) To promote sporting events which are open to or made available
15 to the general public; or

16 (d) To pay back amounts expended or borrowed through one or more
17 debt issues to be expended by the nonprofit corporation coapplicant to
18 acquire, construct, improve, or equip a privately owned sports complex,
19 subject to voter approval as provided in section 13-3110.

20 (5)(a) No more than ten years of funding for promotion of the arts
21 and cultural events shall be paid by state assistance received pursuant
22 to section 13-3108.

23 (b) No more than ten years of funding for promotion of sporting
24 events shall be paid by state assistance received pursuant to section
25 13-3108.

26 (c) No more than ten ~~five~~ years of funding for a sports complex
27 located in a city of the second class or village shall be paid by state
28 assistance received pursuant to section 13-3108.

29 (6) For any application for state assistance for a large public
30 stadium approved on or after July 19, 2024, up to one hundred percent of
31 the final cost of the project may be funded by state assistance received

1 pursuant to section 13-3108.

2 **Sec. 2.** Section 13-3105, Reissue Revised Statutes of Nebraska, is
3 amended to read:

4 13-3105 (1) Within thirty days after completing the board's review
5 of an application under subsection (4) of ~~After reviewing an application~~
6 ~~submitted under~~ section 13-3104, the board shall hold a public hearing on
7 the application.

8 (2) The board shall give notice of the time, place, and purpose of
9 the public hearing by publication three times in a newspaper of general
10 circulation in the area where the political subdivision submitting the
11 application is located. Such publication shall be not less than ten days
12 prior to the hearing. The notice shall describe generally the project for
13 which state assistance has been requested. The applicant shall pay the
14 cost of the notice.

15 (3) At the public hearing, representatives of the applicant and any
16 other interested persons may appear and present evidence and argument in
17 support of or in opposition to the application or neutral testimony. The
18 board may seek expert testimony and may require testimony of persons whom
19 the board desires to comment on the application. The board may accept
20 additional evidence after conclusion of the public hearing.

21 **Sec. 3.** Section 13-3106, Revised Statutes Supplement, 2025, is
22 amended to read:

23 13-3106 (1) After consideration of the application and the evidence,
24 the board shall determine whether or not to approve the application. For
25 applications submitted on or after the effective date of this act, the
26 board shall make its determination within thirty days after the public
27 hearing held pursuant to section 13-3105. For applications submitted
28 prior to the effective date of this act, the board shall make its
29 determination within thirty days after the public hearing held pursuant
30 to section 13-3105 or within thirty days after the effective date of this
31 act, whichever period is later. The application shall be approved unless

1 ~~the board finds that the project described in the application is~~
2 ~~ineligible or that state assistance is not in the best interest of the~~
3 ~~state. if the board finds that the project described in the application~~
4 ~~is eligible and that state assistance is in the best interest of the~~
5 ~~state, the application shall be approved, except that:~~

6 (2) ~~(a)~~ An approval of an application submitted because of the
7 requirement in subdivision (1)(c) of section 13-3103 is a temporary
8 approval. If the general obligation bond issue is subsequently approved
9 by the voters of the political subdivision, the approval by the board
10 becomes permanent. If the general obligation bond issue is not approved
11 by such voters, the temporary approval shall become void. ~~;~~ and

12 (3) ~~(b)~~ An approval of an application submitted because of the
13 requirement in subdivision (1)(f) of section 13-3103 is a temporary
14 approval. If a building permit for the eligible sports arena facility is
15 issued within twenty-four months of the temporary approval, the approval
16 by the board becomes permanent. If a building permit is not issued within
17 twenty-four months of the temporary approval, the temporary approval
18 shall become void.

19 (4) ~~(2)~~ In determining whether state assistance is in the best
20 interest of the state, the board may ~~shall~~ consider the fiscal and
21 economic capacity of the applicant to finance the local share of the
22 project.

23 (5) ~~(3)~~ A majority of the board members constitutes a quorum for the
24 purpose of conducting business. All actions of the board shall be by a
25 majority vote of all the board members present at the board meeting ~~, one~~
26 ~~of whom must be the Governor.~~

27 **Sec. 4.** Section 13-3108, Revised Statutes Cumulative Supplement,
28 2024, is amended to read:

29 13-3108 (1) The Sports Arena Facility Support Fund is created. Any
30 money in the fund available for investment shall be invested by the state
31 investment officer pursuant to the Nebraska Capital Expansion Act and the

1 Nebraska State Funds Investment Act.

2 (2)(a) Upon receiving the certification described in subsection (3)
3 of section 13-3107, the State Treasurer shall transfer the amount
4 certified to the fund.

5 (b) Upon receiving the quarterly certification described in
6 subsection (4) of section 13-3107, the State Treasurer shall transfer the
7 amount certified to the fund.

8 (3)(a) It is the intent of the Legislature to appropriate from the
9 fund money to be distributed as provided in subsections (4) and (5) of
10 this section to any political subdivision for which an application for
11 state assistance under the Sports Arena Facility Financing Assistance Act
12 has been approved an amount not to exceed:

13 (i) For any eligible sports arena facility that is not a sports
14 complex located in a city of the second class or village, seventy percent
15 of the (A) state sales tax revenue collected by retailers doing business
16 at eligible sports arena facilities on sales at such facilities, (B)
17 state sales tax revenue collected on primary and secondary box office
18 sales of admissions to such facilities, and (C) new state sales tax
19 revenue collected by nearby retailers and sourced under sections
20 77-2703.01 to 77-2703.04 to the program area; or

21 (ii) For any eligible sports arena facility that is a sports complex
22 located in a city of the second class or village, twenty-five percent of
23 the (A) state sales tax revenue collected by retailers doing business at
24 eligible sports arena facilities on sales at such facilities, (B) state
25 sales tax revenue collected on primary and secondary box office sales of
26 admissions to such facilities, and (C) new state sales tax revenue
27 collected by nearby retailers and sourced under sections 77-2703.01 to
28 77-2703.04 to the program area.

29 (b) The amount to be appropriated for distribution as state
30 assistance to a political subdivision under this subsection for any one
31 year after the tenth year shall not exceed the highest such amount

1 appropriated under subdivision (3)(a) of this section during any one year
2 of the first ten years of such appropriation. If seventy percent of the
3 state sales tax revenue as described in subdivision (3)(a) of this
4 section exceeds the amount to be appropriated under this subdivision,
5 such excess funds shall be transferred to the General Fund. This
6 subdivision does not apply to any eligible sports arena facility that is
7 a sports complex located in a city of the second class or village.

8 (4) The amount certified under subsection (3) of section 13-3107
9 shall be distributed as state assistance on or before April 15, 2014.

10 (5) Beginning in 2014, quarterly distributions and associated
11 transfers of state assistance shall be made. Such quarterly distributions
12 and transfers shall be based on the certifications provided under
13 subsection (4) of section 13-3107 and shall occur within fifteen days
14 after receipt of such certification.

15 (6)(a) Except as provided in subdivision (6)(b) of this section, the
16 total amount of state assistance approved for an eligible sports arena
17 facility shall not exceed one hundred million dollars.

18 (b) For any eligible sports arena facility that is a large public
19 stadium:

20 (i) The total amount of state assistance approved for such facility
21 shall not exceed twenty-five million dollars;

22 (ii) The amount of state assistance approved for such facility for
23 any year shall not exceed one million two hundred fifty thousand dollars;
24 and

25 (iii) No state assistance for any large public stadium shall be paid
26 until after July 1, 2027.

27 (7)(a) Except as provided in subdivisions (b), (c), and (d) of this
28 subsection, state assistance to the political subdivision shall no longer
29 be available upon the retirement of the bonds issued to acquire,
30 construct, improve, or equip the facility or any subsequent bonds that
31 refunded the original issue or when state assistance reaches the amount

1 determined under subdivision (6)(a) of this section, whichever comes
2 first.

3 (b) If the state assistance will be used to provide funding for
4 promotion of the arts and cultural events or for promotion of sporting
5 events, such state assistance to the political subdivision shall no
6 longer be available after ten years of funding or when state assistance
7 reaches the amount determined under subdivision (6)(a) of this section,
8 whichever comes first.

9 (c) If the state assistance will be used to provide funding for a
10 sports complex located in a city of the second class or village, such
11 state assistance to the political subdivision shall no longer be
12 available after ten ~~five~~ years of funding or when state assistance
13 reaches the amount determined under subdivision (6)(a) of this section,
14 whichever comes first.

15 (d) If the state assistance will be used to provide funding for a
16 large public stadium, such state assistance to the political subdivision
17 shall no longer be available after twenty years of funding or when state
18 assistance reaches the amount determined under subdivision (6)(b)(i) of
19 this section, whichever comes first.

20 (8) State assistance shall not be used for an operating subsidy for
21 any publicly owned eligible sports arena facility or nearby parking
22 facility.

23 (9) The thirty percent of state sales tax revenue remaining after
24 the appropriation and transfer in subdivision (3)(a)(i) of this section
25 shall be appropriated by the Legislature and transferred quarterly as
26 follows:

27 (a) If the revenue relates to an eligible sports arena facility that
28 is a sports complex and that is approved for state assistance under
29 section 13-3106 on or after May 26, 2021, eighty-three percent of such
30 revenue shall be transferred to the Support the Arts Cash Fund and
31 seventeen percent of such revenue shall be transferred to the Convention

1 Center Support Fund; and

2 (b) If the revenue relates to any other eligible sports arena
3 facility, such revenue shall be transferred to the Civic and Community
4 Center Financing Fund.

5 (10) The seventy-five percent of state sales tax revenue remaining
6 after the appropriation and transfer in subdivision (3)(a)(ii) of this
7 section shall be distributed in accordance with section 77-27,132.

8 (11) Except as provided in subsection (12) of this section for a
9 city of the primary class, any municipality that has applied for and
10 received a grant of assistance under the Civic and Community Center
11 Financing Act shall not receive state assistance under the Sports Arena
12 Facility Financing Assistance Act for the same project for which the
13 grant was awarded under the Civic and Community Center Financing Act.

14 (12) A city of the primary class shall not be eligible to receive a
15 grant of assistance from the Civic and Community Center Financing Act if
16 the city has applied for and received a grant of assistance under the
17 Sports Arena Facility Financing Assistance Act.

18 **Sec. 5.** Original section 13-3105, Reissue Revised Statutes of
19 Nebraska, section 13-3108, Revised Statutes Cumulative Supplement, 2024,
20 and sections 13-3103 and 13-3106, Revised Statutes Supplement, 2025, are
21 repealed.

22 **Sec. 6.** Since an emergency exists, this act takes effect when
23 passed and approved according to law.